

Smart Money Concept (SMC)

Smart Money Concept (SMC):

SMC is a trading strategy focused on understanding and leveraging the market movements initiated by institutional investors, such as banks and Hedge funds. It posits that by identifying the trading behaviors of these major players, retail traders can make more informed decisions.

Smart Money Concept (SMC) in trading:

Understanding the movements and strategies of the markets most influential players like banks and Hedge funds termed “Smart Money” & it can provide retail traders with a significant advantage. This SMC concept deep dive in discussing how institutional investors influence market trends and how retail traders can align their strategies with these markets for potentially better outcome.

Apart from technical indicators, price action, other strategic elements and market’s psychology plays a major role in SMC.

SMC Price action:

SMC
Action of large institutional investors
Delves deeper into the underlying market dynamics
Focus on psychological and strategic maneuvers of institutional traders
Relies heavily on Order flow, Volume flow and Market structure

Four components of price delivery:

1. Consolidation – Price moving in a range for a short to long period of time
2. Expansion – Price moving higher or breakout from consolidation or accumulation levels
3. Retracement – Price returning to the most recent price range
4. Reversal – Price reversing from the current direction

Market Structure:

There are three types of structure,

Swing, Internal, and Fractal

Swing -> BOS (Break of Structure) -> candle body close

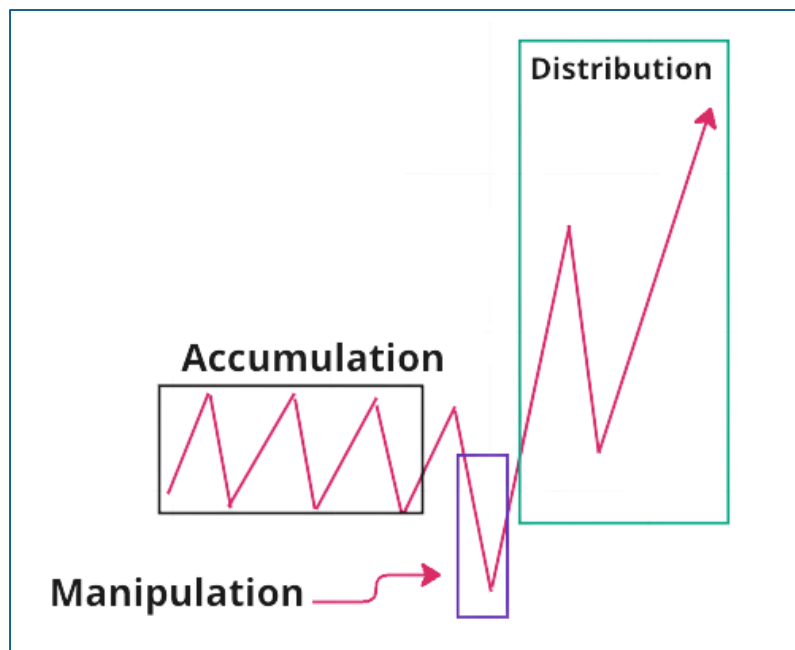
Internal -> i-BOS -> candle body close

Fractal -> f-BOS/CHoCH (fractal structure trend change) -> wick break

CHoCH (Change of Character) -> signals internal pullback starting/ending

i-BOS (Internal Break of Structure) -> signals swing pullback starting/ending

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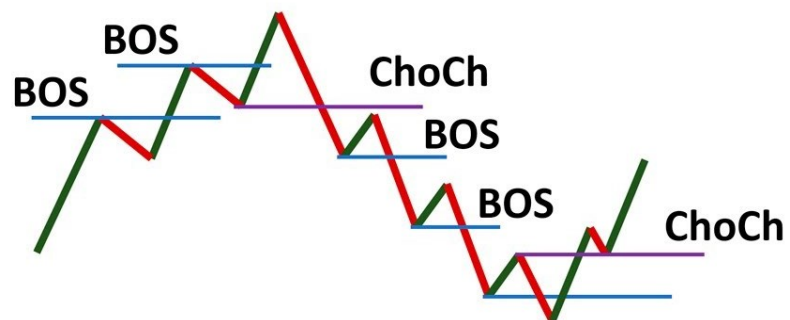
Accumulations/Distributions/Manipulations:

Accumulation – Buying takes place at lower price levels often before a significant uptrend

Distribution – Selling takes place at high price levels, typically before a downtrend.

Manipulation - This is a liquidity sweep that occurs in the opposite direction of the trend.

It indicates the period during which “smart money” is either accumulating or distributing their positions.



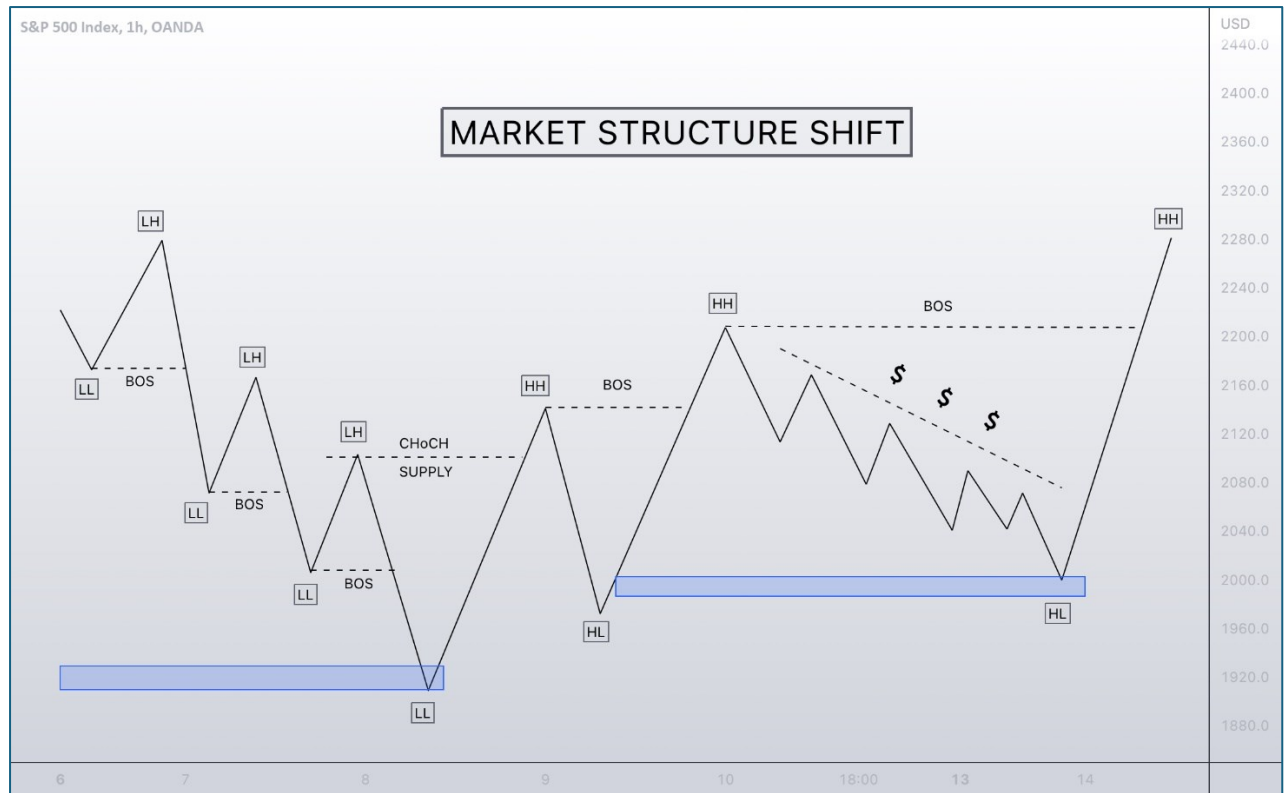
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A Market Structure Shift (MSS) is a sign that a market trend may be reversing. It's a type of Change of Character (CHoCH) that indicates a trend is shifting and includes additional signals that a reversal is likely. An MSS is different from a Break of Structure (BOS), which indicates the current trend is continuing or accelerating

Signs of a new trend: An MSS is marked by lower highs in an uptrend or higher lows in a downtrend before the break.

A higher confluence CHOCH: An MSS can be considered a higher confluence CHOCH

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Institutional reference points:

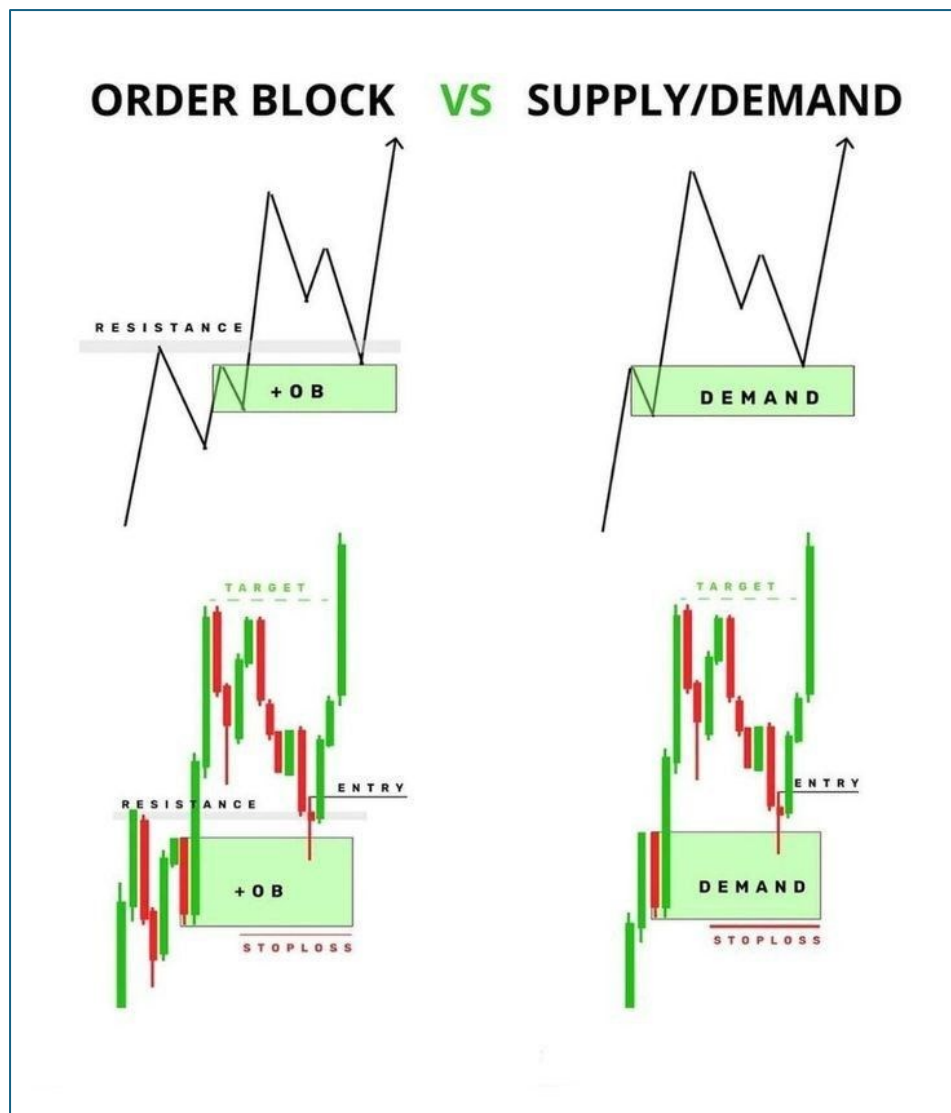
1. Price action
2. Order Block
3. Change of Character
4. Mitigation Block
5. Breaker Block
6. Liquidity void
7. Fair value gap
8. Rejection Block
9. Propulsion Block
10. Reclaimed order Block
11. Old highs and Old Lows
12. Divergence

1. Order blocks:

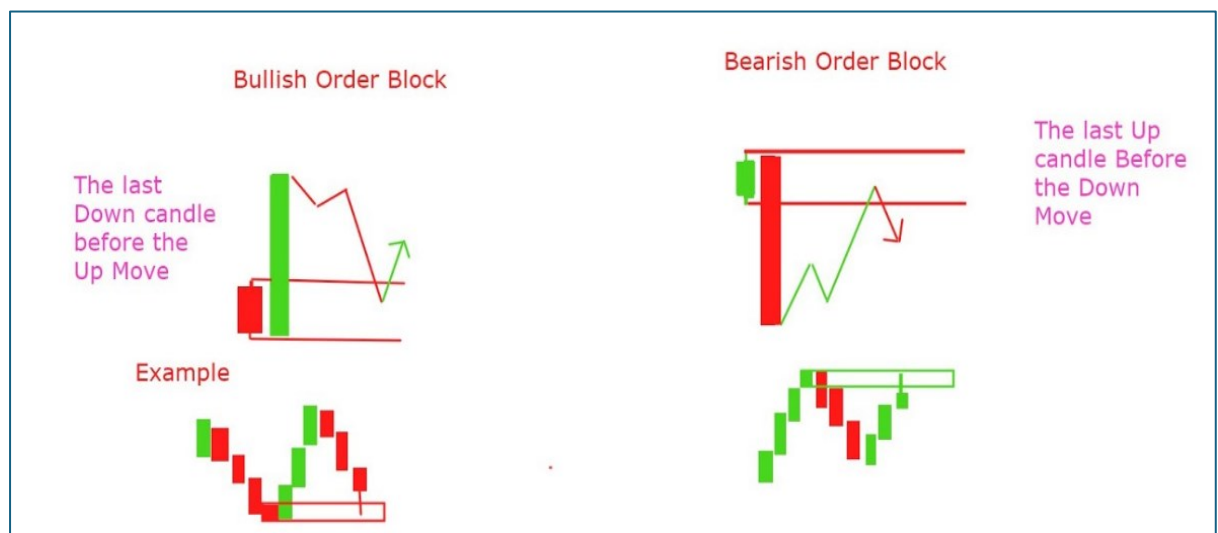
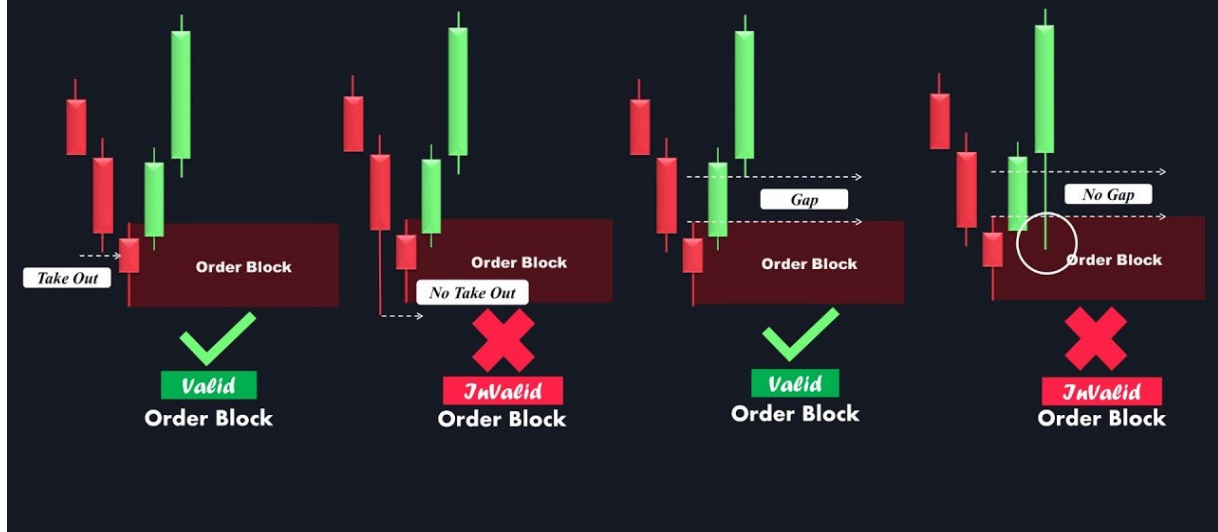
In trading, an order block is a price range on a chart where large institutional traders have previously placed significant buy or sell orders. These areas can indicate potential support or resistance levels and can provide insights into future price movements.

Smart Money Concept (SMC)

- Step 1: Identify market structure in higher time frame (Trend – Bullish / Bearish)
- Step 2: Identify order block/Liquidity Void/FVG in large time frame or confluence of all
- Step 3: Identify liquidity sweep in lower time frame
- Step 4: Identify Change of Character (CHoCH) in lower time frame after liquidity sweep
- Step 5: Identify order block in lower time frame
- Step 6: Expect price to revisit the identified order block after CHoCH
- Step 7: Enter trade now by keeping stop loss the lowest wick of a identified order block



WHICH ORDER BLOCK IS VALID?



2. Breaks of Structure (BOS – Trend Continuation):

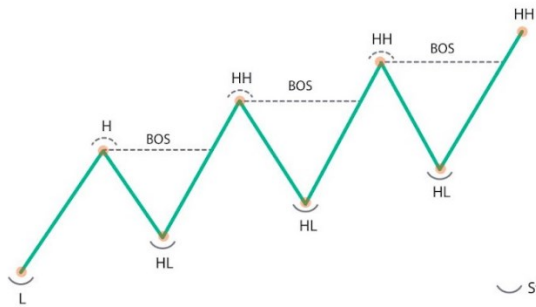
A BOS occurs when the price surpasses a significant high or low (including wick), indicating a potential change in market trend. Recognizing BOS can be crucial for determining trend direction.

3. Change of Character (CHoCH – Trend Reversal):

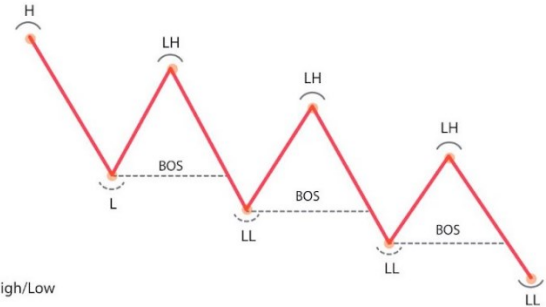
This concept refers to a notable change in the market's behavior, often because of volatility or shift in price direction. A CHoCH usually follows a BOS, confirming the potential reversal and suggesting a new phase of market sentiment driven by institutional activities

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Bullish Swing Structure Strong Highs / Weak Lows

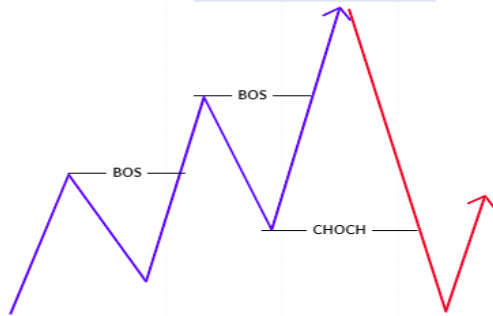


Bearish Swing Structure Strong Highs / Weak Lows

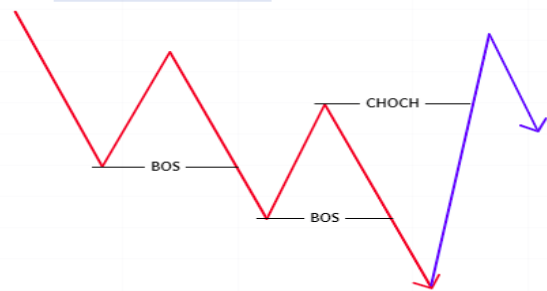


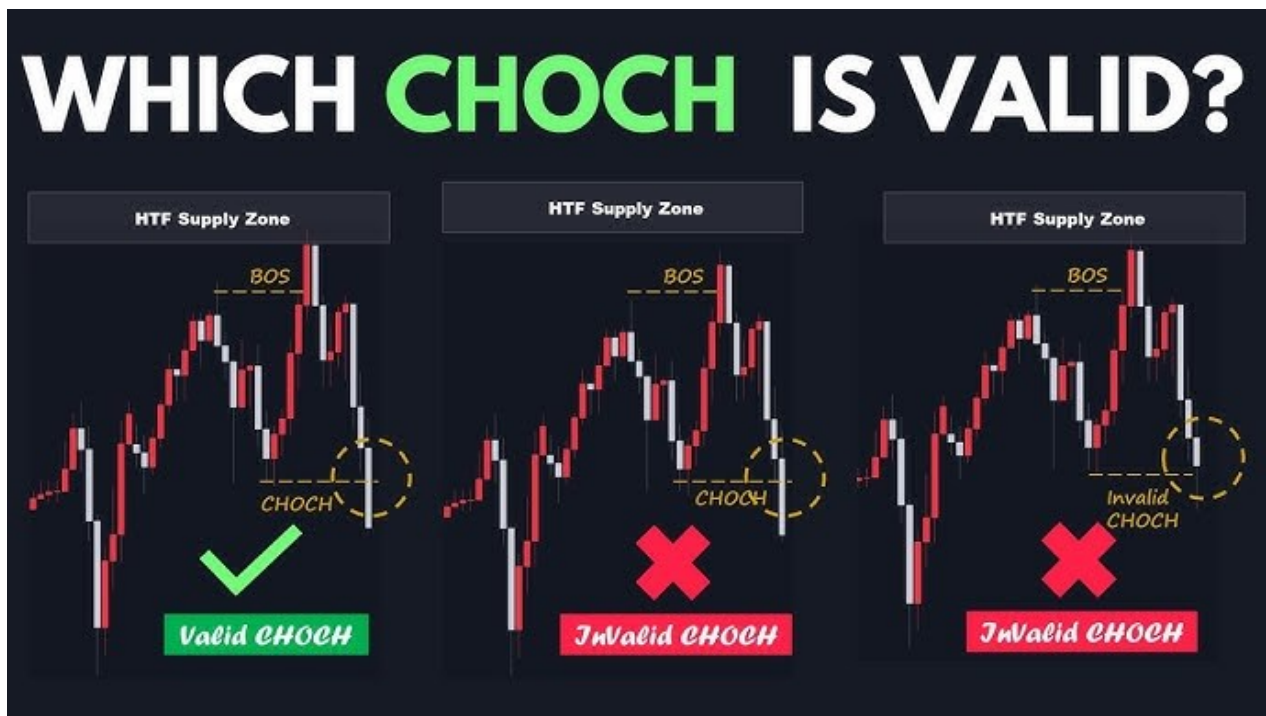
— Strong High/Low
- - - Weak High/Low

Bearish CHOCH



Bullish Choch

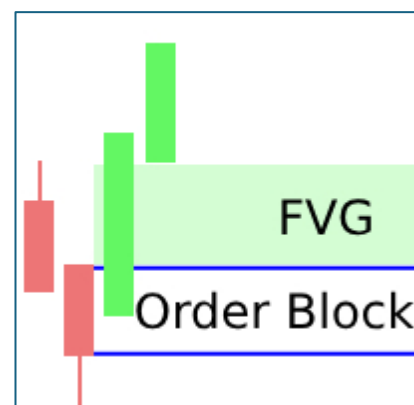
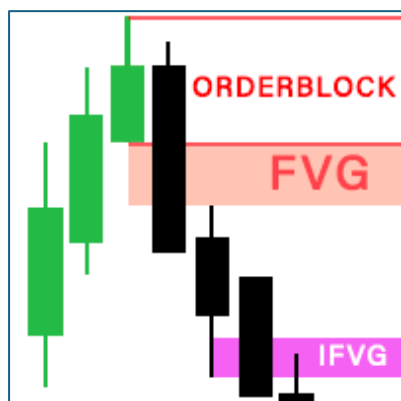
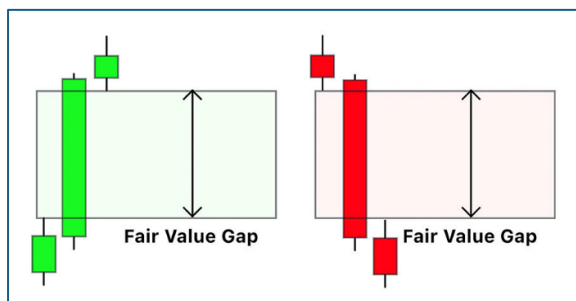




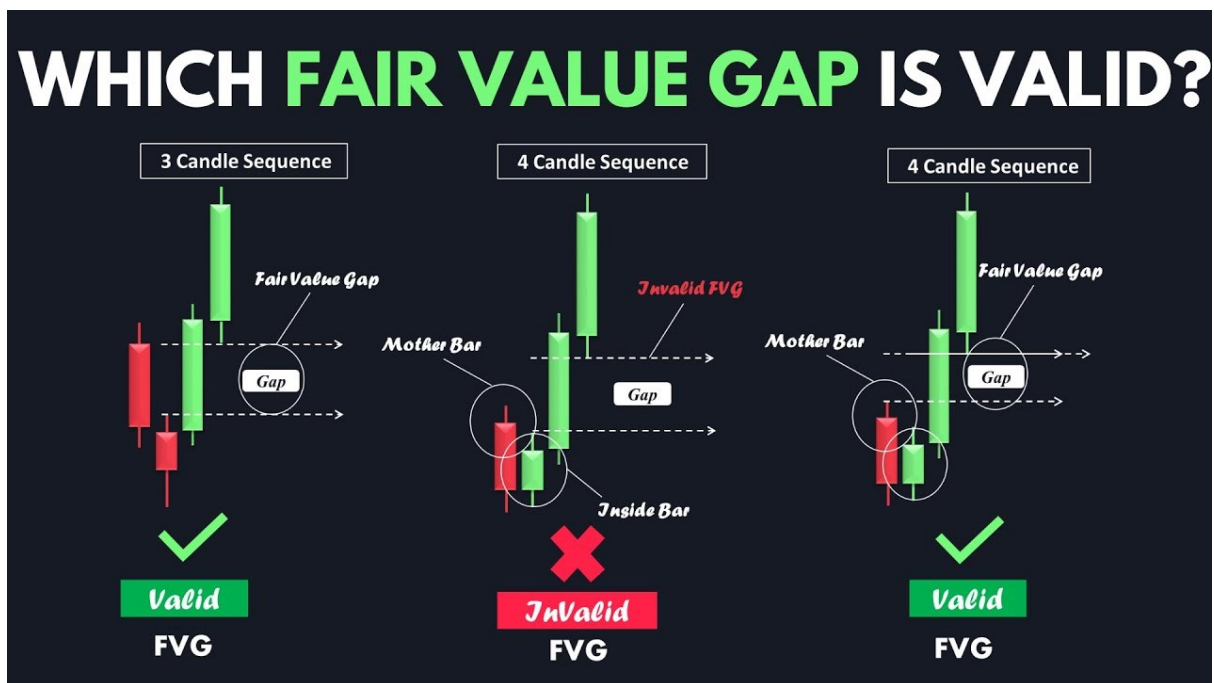
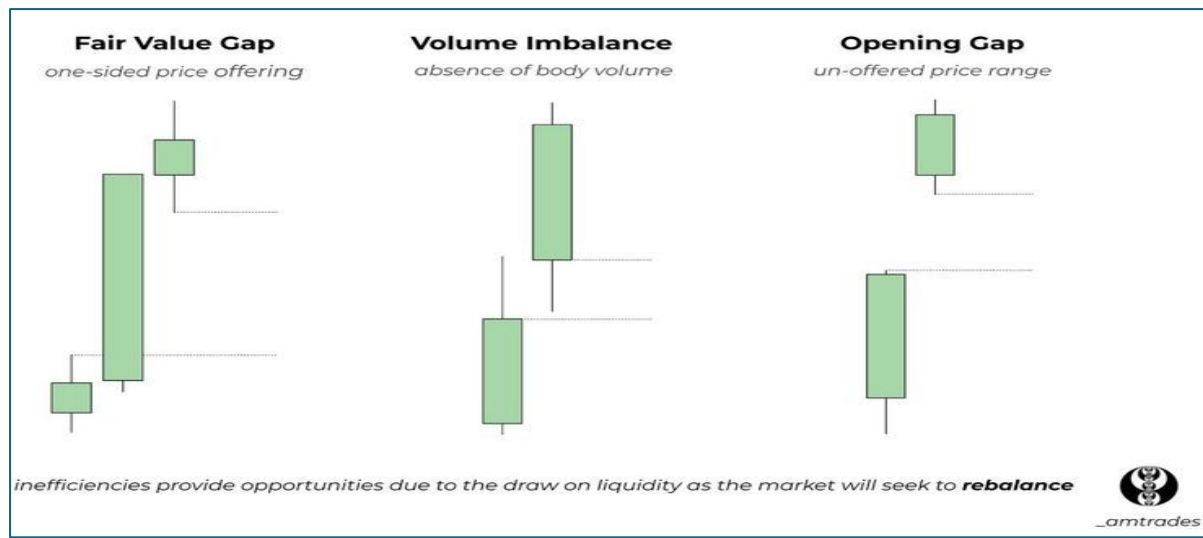
FVG + Order Block Confluence: (Best trade set up)

Areas of the chart where the price moves quickly through, leaving a gap that indicates an imbalance between supply and demand.

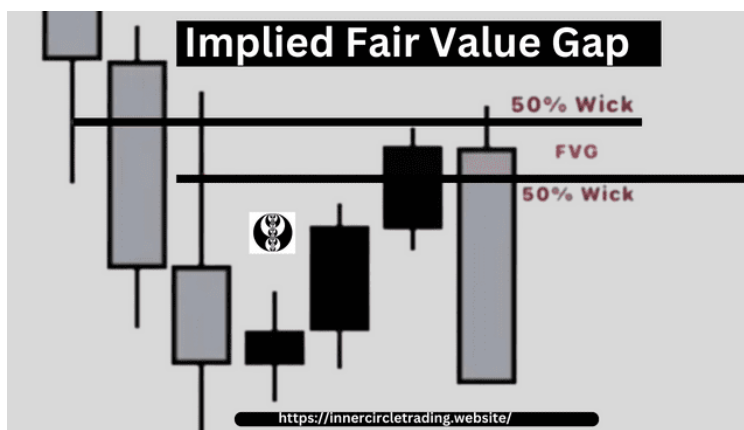
High/low of one candle should be retested before moving up or down and if not filled, a gap is formed it is called Fair Value Gap.



Liquidity Void (Volume Imbalance) /FVG /Opening (Closing) Gap

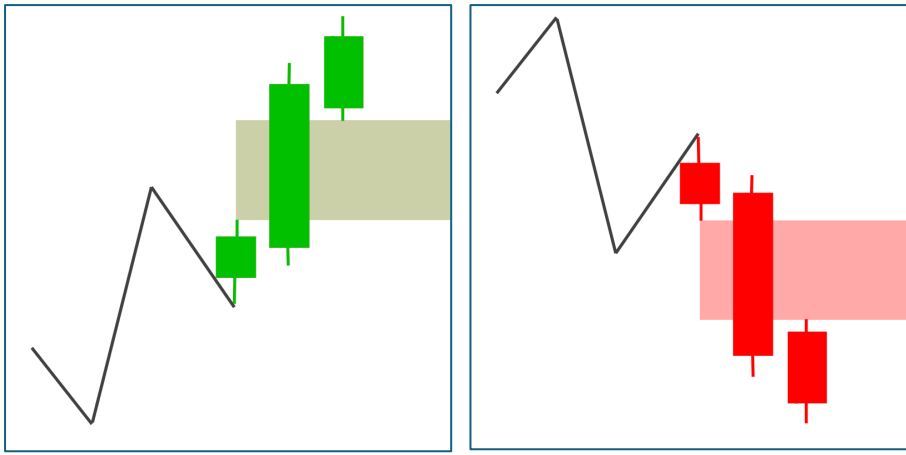


Implied FVG:



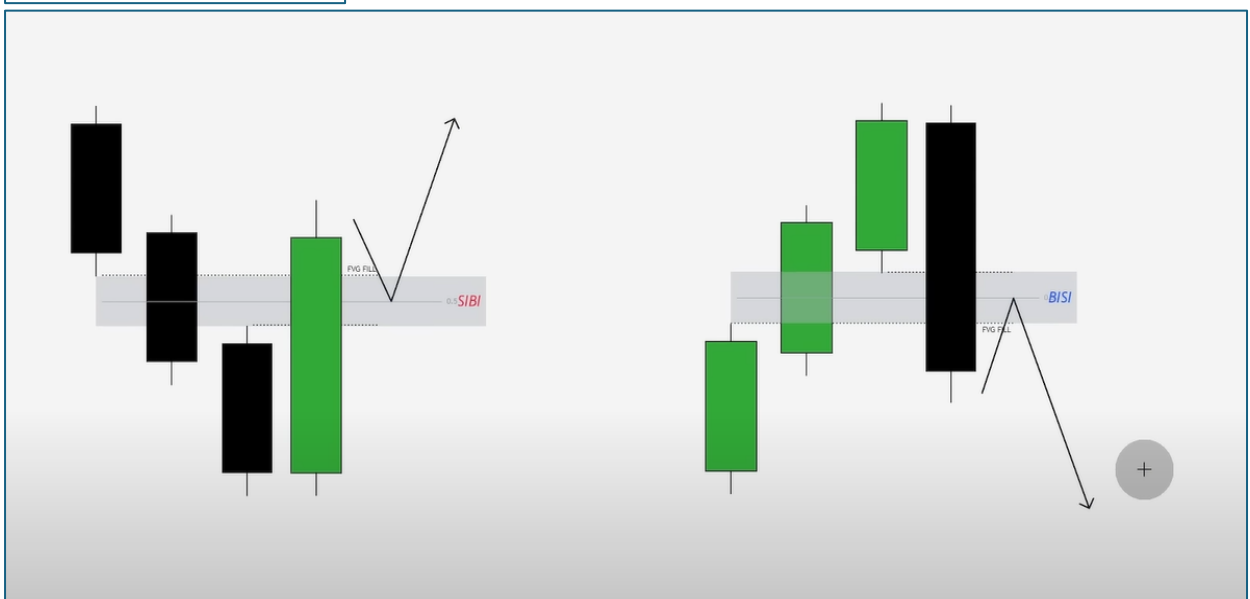
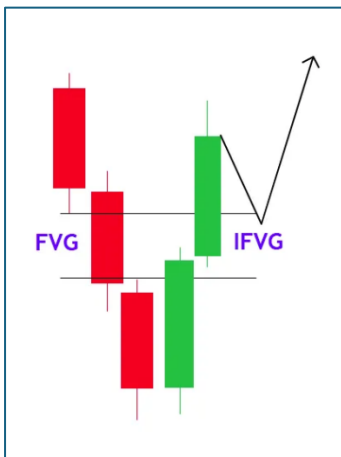
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Conventional FVG:



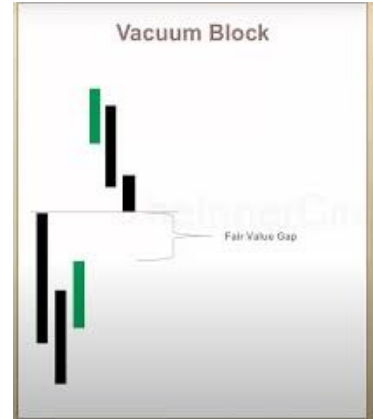
Inversion Fair Value Gap:

An inversion fair value gap (IFVG) occurs when a fair value gap (FVG) fails or is disrespected by closing past the gap's 50 level. IFVGs can be used to set up trades and are more likely to happen after a structural trend reversal. Can be used for support or resistance.



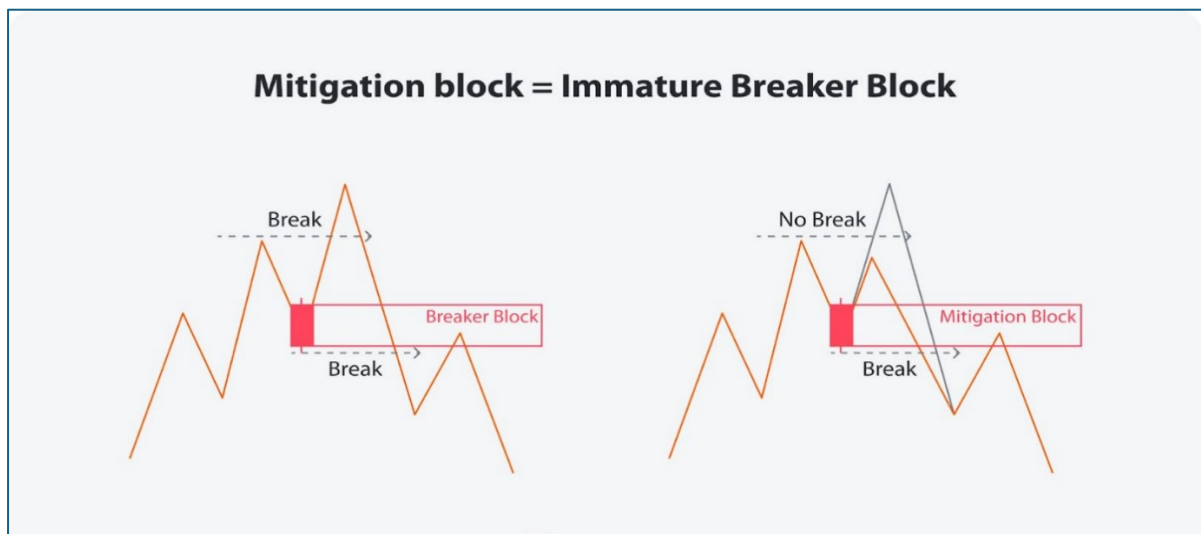
Vacuum Block (opening/Closing gap):

A vacuum block is a gap created in price action because of high volatility event, such as NFP (Nonfarm payroll), FOMC (Federal Open Market Community) etc. or session opening/closing.



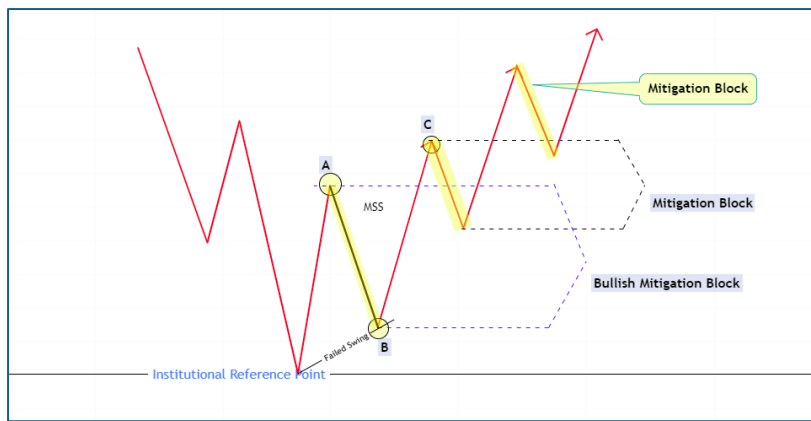
Mitigation block (Failure swing):

A failure swing in the market that occurs when the price doesn't move past the trend's most recent high or low, instead plotting a higher low or lower high before reversing.

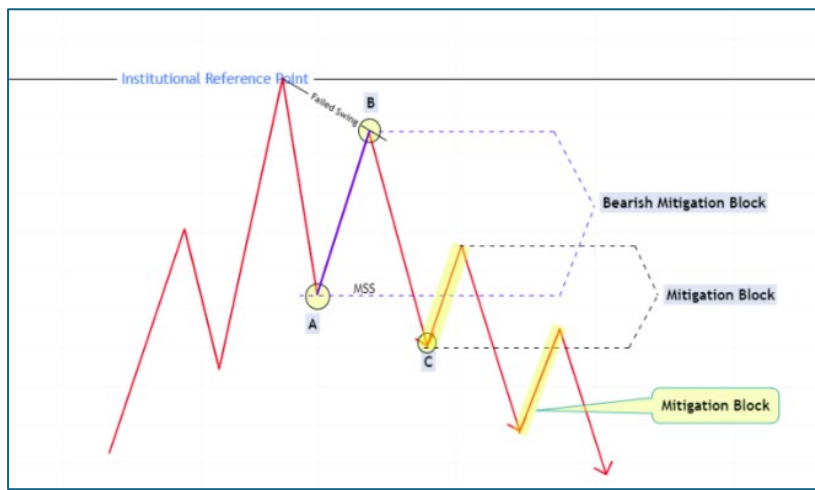


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Bullish Mitigation Block:



Bearish Mitigation Block:



1. Bullish Mitigation block

- a. A bullish type is established during a downtrend. It is characterized by a significant trough, followed by a rise to form a higher low, and a failure to drop below the previous low. As the pair moves up, the order block below the high mark's mitigation one

2. Bearish Mitigation block

- a. A bearish type forms during an uptrend and is identified by a significant peak followed by a decline and a failed attempt to reach or surpass the previous high, creating a lower high

Breaker blocks (Successful swing):

A successful swing in the market that occurs when a new high or low forms before the market structure breaks, indicating that liquidity has been taken

These are essentially failed order blocks i.e. when an order block fails to hold the price, it breaks through above or below the order block and can act as a barrier for prices in the future.

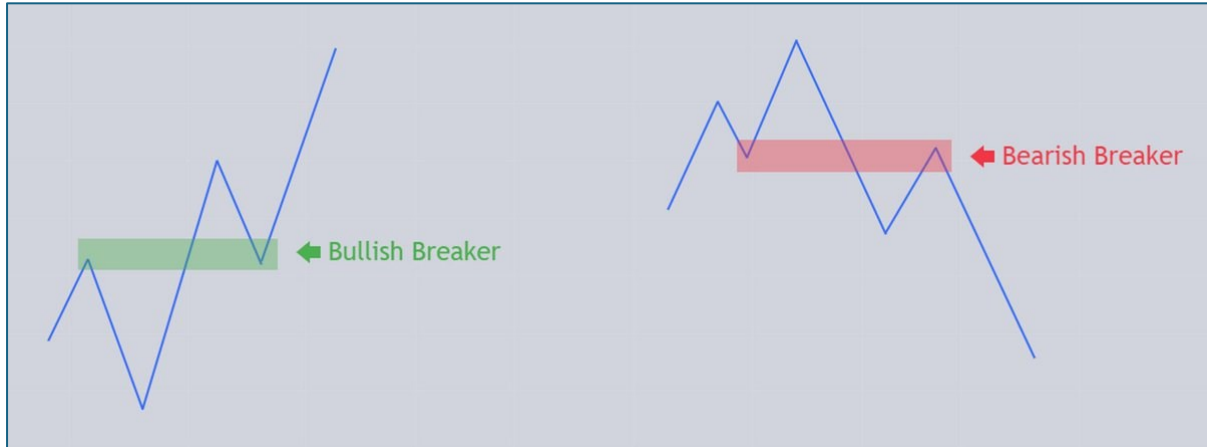
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1. Bullish breaker block

- a. This indicates that the market may continue to rise after breaching a significant resistance level. This could suggest a potential long position for traders

2. Bearish breaker block

- a. This indicates that the market may decline further after price retests and rejects a previously failed support level. This could suggest a potential short position for traders

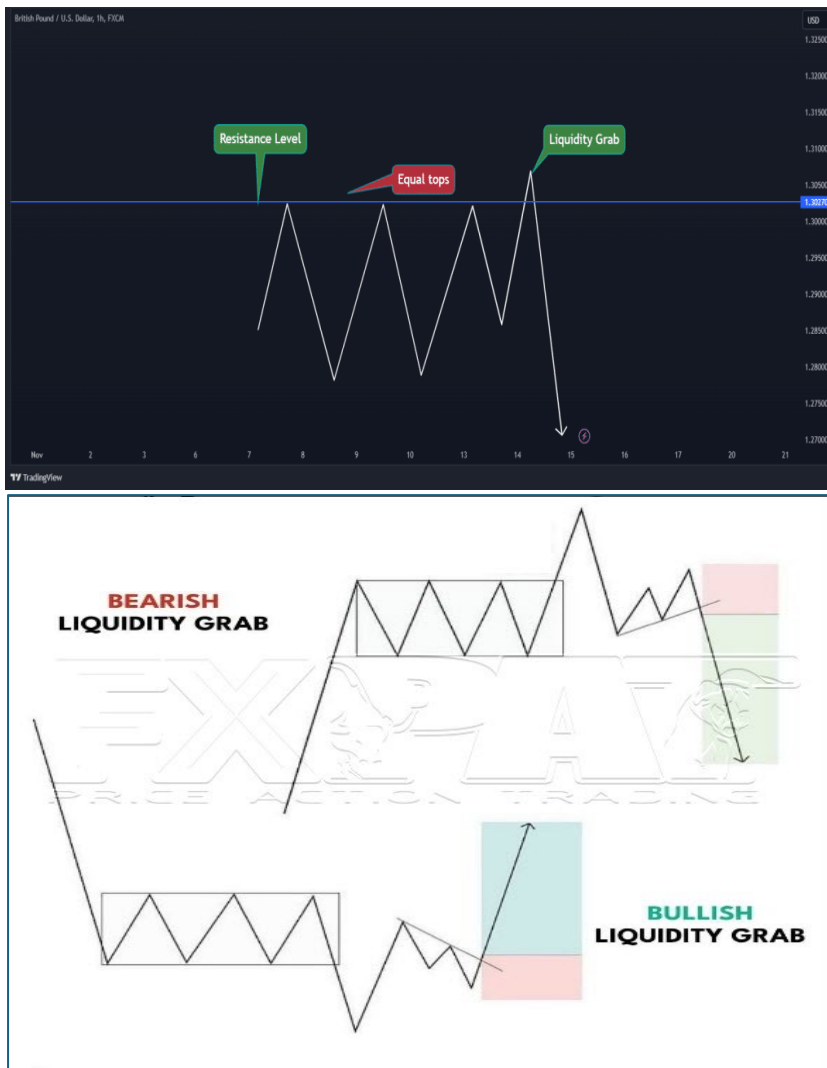


Liquidity Grab / Stop Loss Hunt:

- Buy Stop Liquidity (BSL)
- Sell Stop Liquidity (SSL)

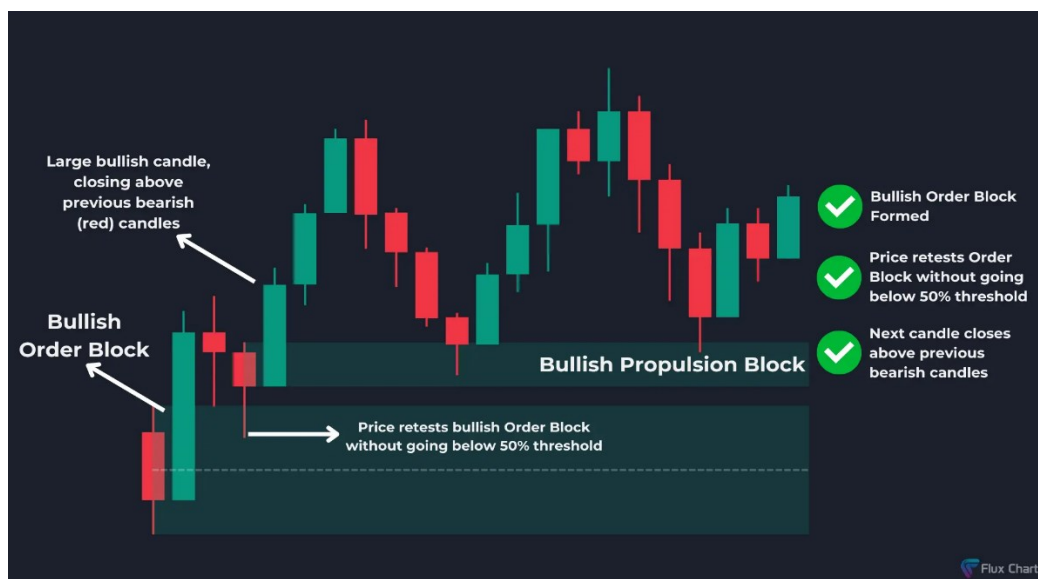
Areas in the market where there is little or no trading activity, which can lead to sudden price movements between two levels. They are caused by an imbalance in buy and sell orders, and can happen after major news events, during off-market hours, or following large institutional trades

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These are areas where stop losses and stop orders are likely to rest, usually around key highs or lows, trendlines and equal highs/lows.

Propulsion block: Special price structures where price has reacted off of previous order blocks



Reclaimed Order Block:

Reclaimed order blocks are the areas where institutional traders accumulate their positions by hedging and market shows a minor displacement at that area.

And later on these blocks are reclaimed and act as support/resistance to push price up/down

Because they have deep pockets and large orders which cannot be fulfilled in a single transaction.

So they accumulate their positions by hedging in the sell side of curve

Bullish reclaimed order block

It is a candlestick that was previously used to buy price, and a short-term bounce confirms minor displacement

As in the picture above you can see when price moves higher after shifting its momentum to the buyside, it reclaims the old block created on the sell side of curve.

These blocks are supporting the price to move higher.

In fact, smart money use these blocks again to enter into the market and make their long positions



Bearish reclaimed order block

Bearish reclaimed order block is a candlestick that was previously used to sell price and a short term decline confirms minor displacement

And the smart money uses these blocks during the sell side of curve to add to their short positions.

As in the picture above you can see the old blocks acting as a resistance and pushing price downward

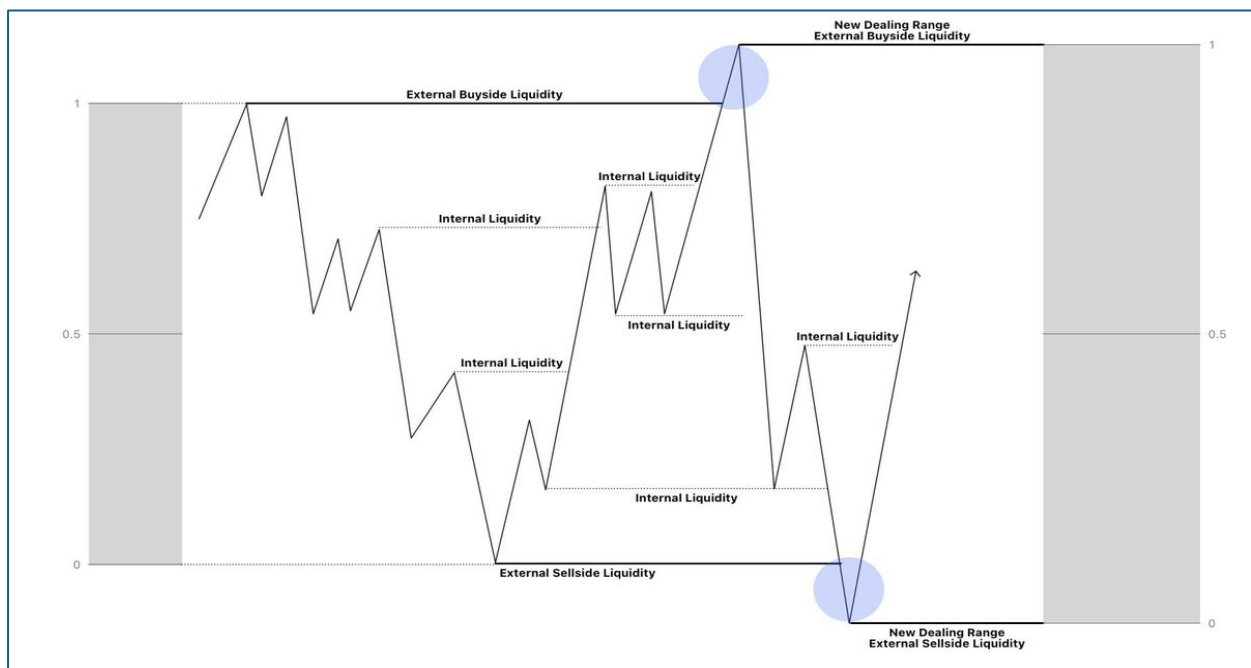
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Internal & External liquidity:

Internal – Order block/FVG/Liquidity voids

External – Above old highs/Below old lows/Above or below equal highs or lows



Time frame used:

Based on different trading strategies,

1. **Swing (days)** – Look at 4H chart and pick a position in hourly/Minutes chart. 1% or 2 % capital per trade depends on Risk-Reward
2. **Positional (weeks)** – Look at weekly chart and pick a position in day chart. 1% or 2 % capital per trade depends on Risk-Reward

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Rejection Block:

Rejection blocks represent long wicks at the top or bottom of a swing, preferably sweeping liquidity with those wicks before a reversal to shift market structure

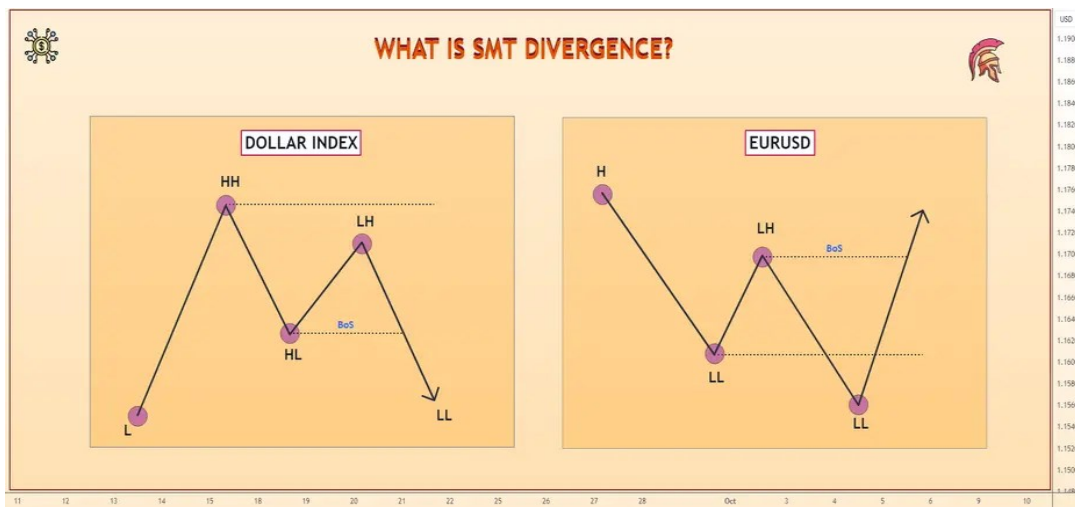


SMT Divergence for entry: (Useful in currency trading)

SMT Divergence is a variation in the correlation of two assets (Ex. EURUSD) that are positively correlated or negatively correlated.

Ref. asset is "DXY" – Dollar index – Measures the strength and performance of the USD

If we notice a sudden shift in the correlation of two positively or negatively correlated assets, we assume that is smart money manipulation reaching for stop losses.



Premium & Discount (PD) Array:

Fibonacci to identify premium and discount

Steps to follow to take a trade in the **discount range**, Identify

1. Bullish Mitigation Block
2. Bullish breaker
3. Liquidity void
4. Fair Value Gap
5. Bullish order block
6. Rejection Block
7. Old high and old Low

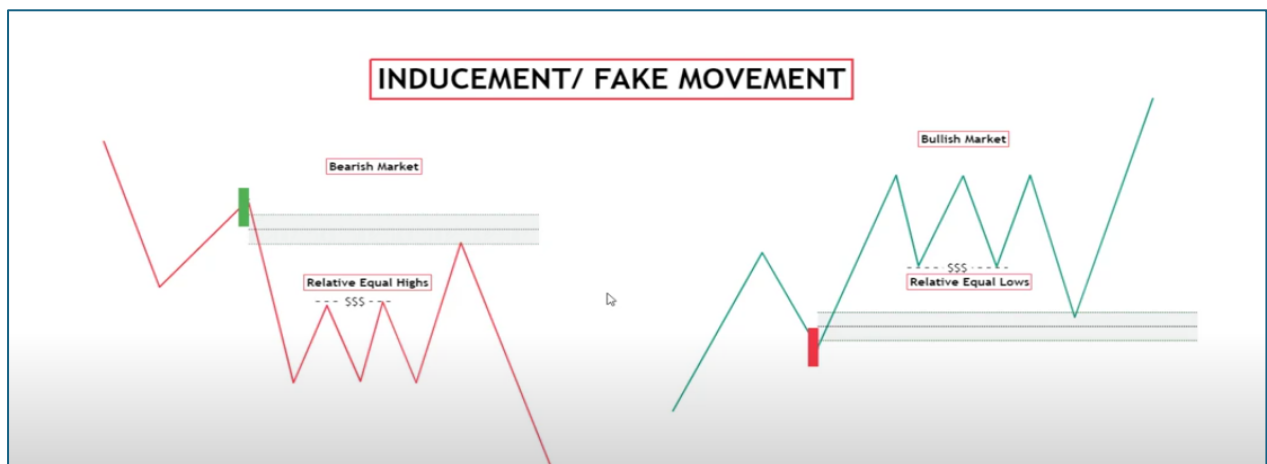
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Steps to follow to take a trade in the **premium range**, Identify

1. Old high and old low
2. Rejection block
3. Bearish order-block
4. Fair Value Gap
5. Liquidity void
6. Bearish breaker
7. Mitigation block

Inducement:

Inducement refers to the practice by institutional traders of manipulating price action to lure retail traders into taking positions that are likely to fail, often by triggering stop-loss orders or false breakout.



How to identify entries:

1. Draw a PD array and identify discount zone.
2. Identify FVG/OB/VG etc.
3. Wait for the price to come back and induce

SMC Strategy/Trade Method using institutional reference:

Always remember the price action priority (top-bottom).

1. Mitigation block
2. Breaker block
3. Liquidity void
4. Fair Value Gap
5. Order Block
6. Rejection Block
7. Old high/Old lows

Order block that leads to BOS/CHOCH, Imbalance/FVG & unmitigated will have high chance of bullish price action.

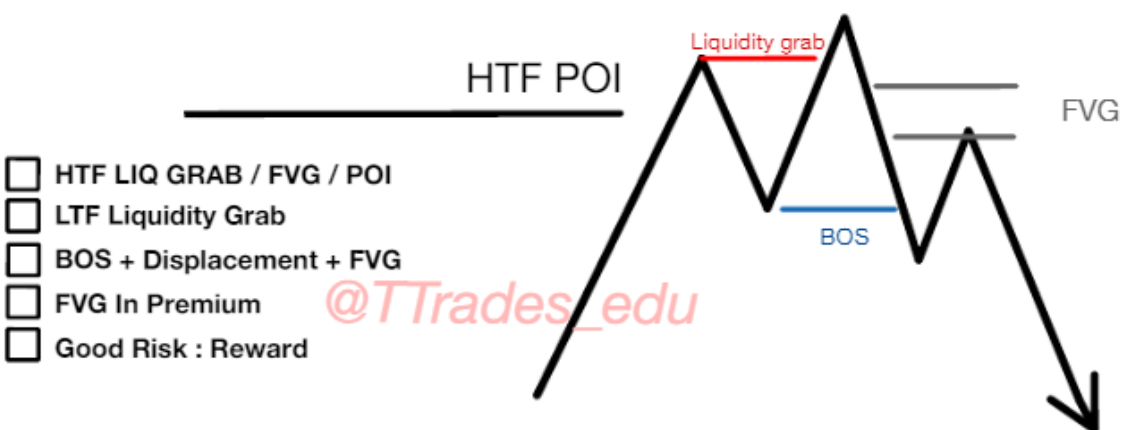
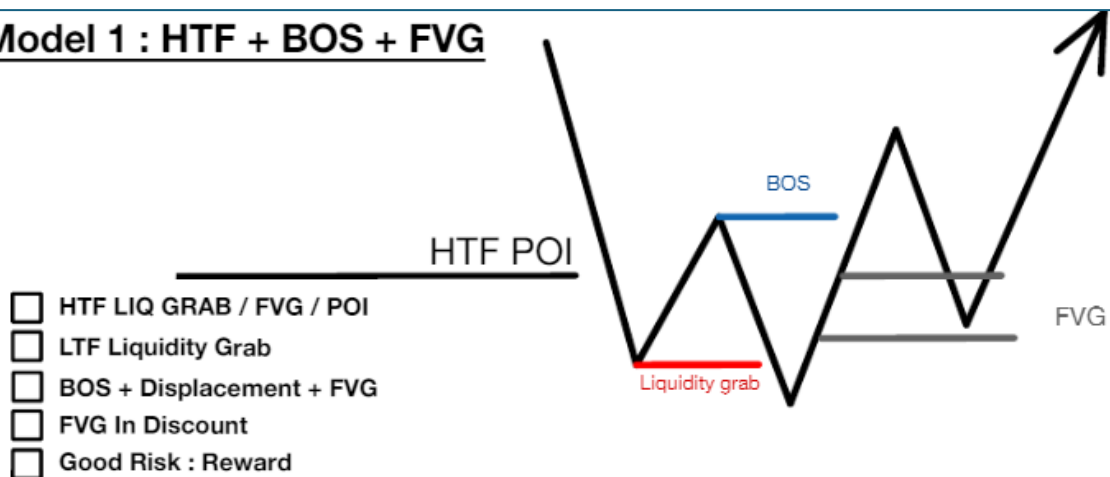
Order block strategy:

1. Identify market structure/order flow – Up trend / down trend in high time frame
2. Identify strong price action candle
3. Identify CHoCH (identify last higher low or lower high)
4. Switch to lower time frame
5. Identify Premium/Discount using Fibonacci (below 0.5 is our important)
6. Identify FVG/volume void/price gap
7. Identify order block
8. Allow price to revisit the identified order block / FVG
9. Make sure liquidity grab/SL hunt
10. Place the order

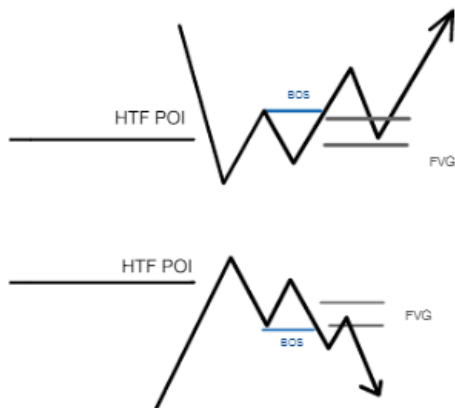
TRADE ENTRY MODELS:

1. Higher TF POI (HIGHER TIME FRAME POINT OF INTEREST)
2. After CHoCH & FVG Mitigation
3. Breaker Block Mitigation
4. Order Block
5. Mitigation block

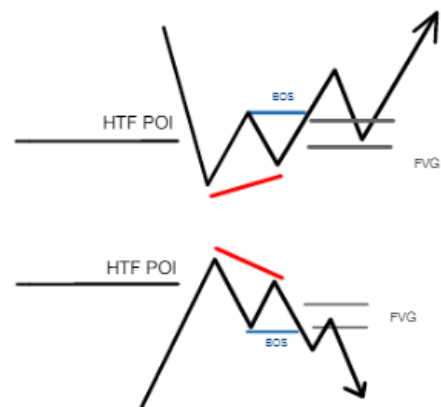
Model 1 : HTF + BOS + FVG



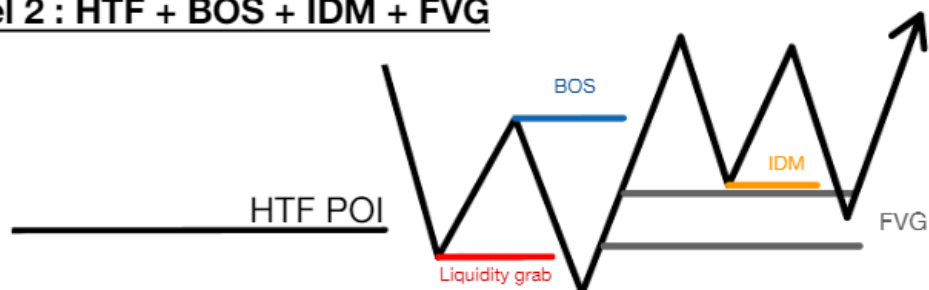
Model 1 Variation : Failed swing



Model 1 Variation : SMT

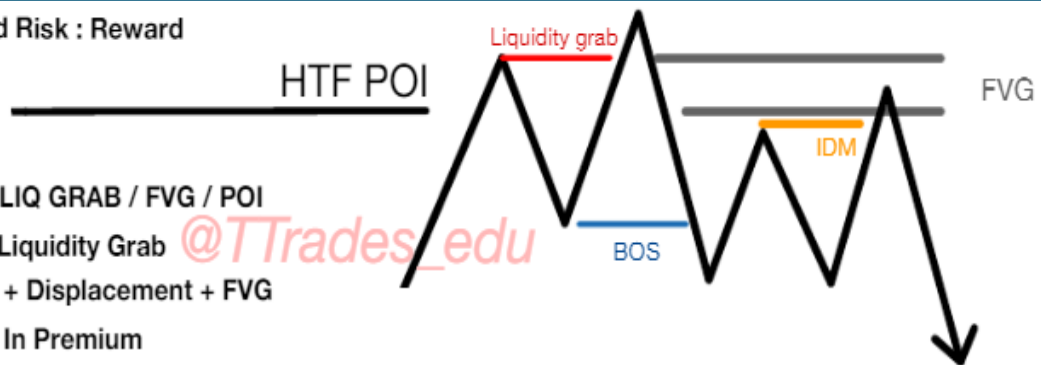


Model 2 : HTF + BOS + IDM + FVG



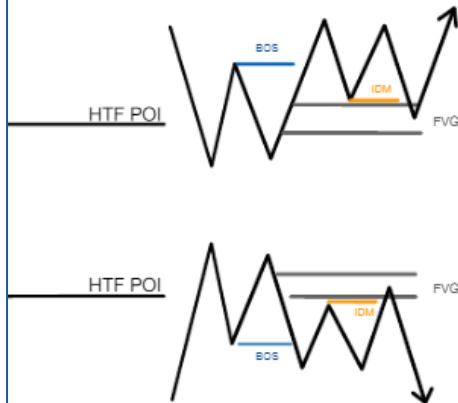
- ☐ HTF LIQ GRAB / FVG / POI
- ☐ LTF Liquidity Grab
- ☐ BOS + Displacement + FVG
- ☐ FVG In Discount
- ☐ Internal Liquidity (IDM)

- ☐ Good Risk : Reward

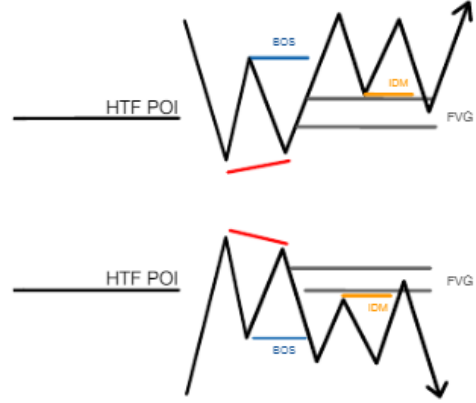


- ☐ HTF LIQ GRAB / FVG / POI
- ☐ LTF Liquidity Grab
- ☐ BOS + Displacement + FVG
- ☐ FVG In Premium
- ☐ Internal Liquidity (IDM)

Model 2 Variation : Failed swing



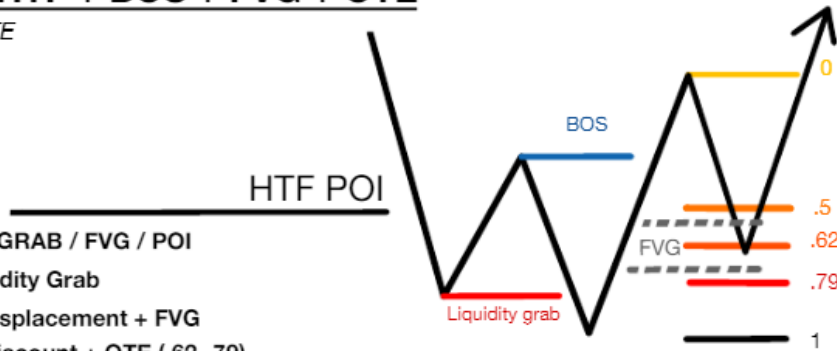
Model 2 Variation : SMT



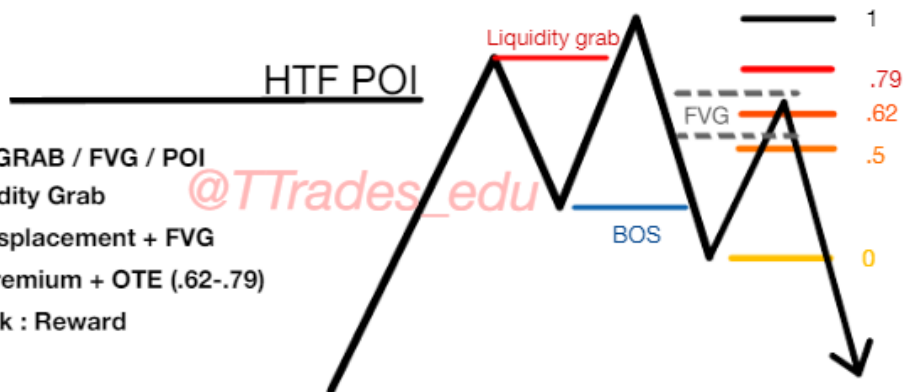
Model 3 : HTF + BOS + FVG + OTE

Model 1 + OTE

- ☐ HTF LIQ GRAB / FVG / POI
- ☐ LTF Liquidity Grab
- ☐ BOS + Displacement + FVG
- ☐ FVG In Discount + OTE (.62-.79)
- ☐ Good Risk : Reward

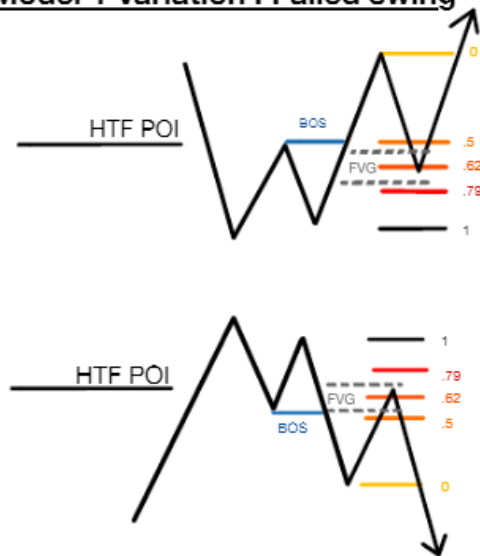


- ☐ HTF LIQ GRAB / FVG / POI
- ☐ LTF Liquidity Grab
- ☐ BOS + Displacement + FVG
- ☐ FVG In Premium + OTE (.62-.79)
- ☐ Good Risk : Reward

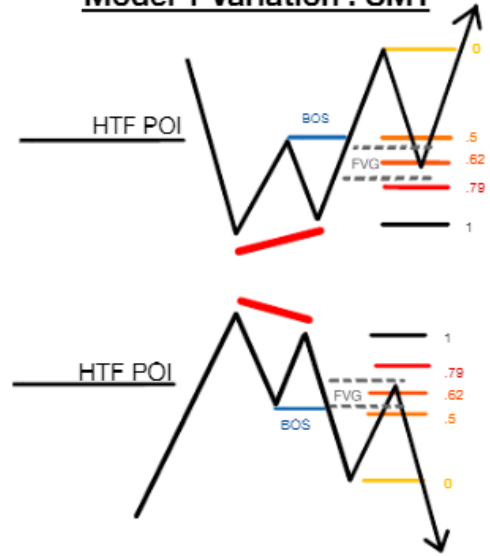


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Model 1 Variation : Failed swing

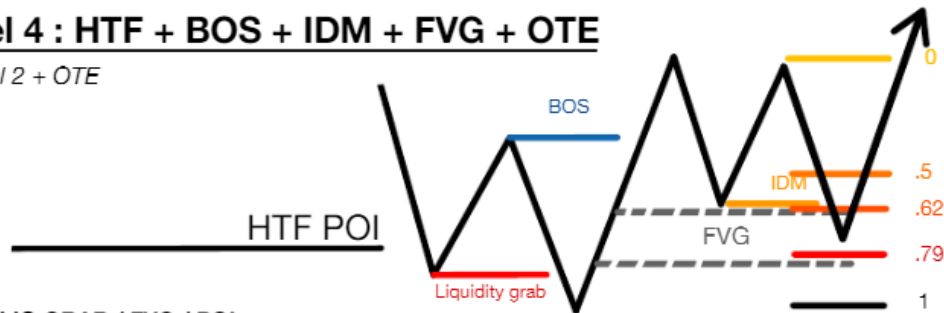


Model 1 Variation : SMT



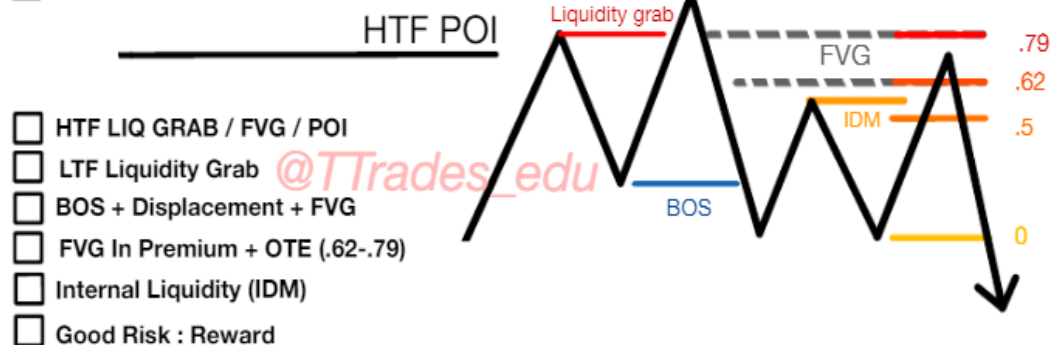
Model 4 : HTF + BOS + IDM + FVG + OTE

Model 2 + OTE



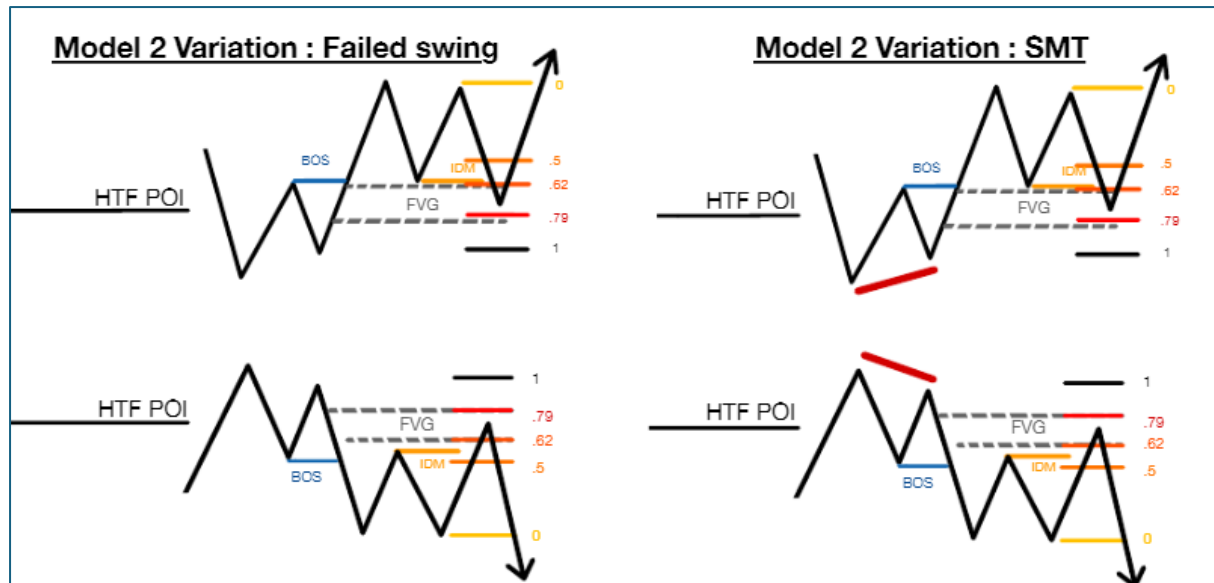
- ☐ HTF LIQ GRAB / FVG / POI
- ☐ LTF Liquidity Grab
- ☐ BOS + Displacement + FVG
- ☐ FVG In Discount + OTE (.62-.79)
- ☐ Internal Liquidity (IDM)

- ☐ Good Risk : Reward



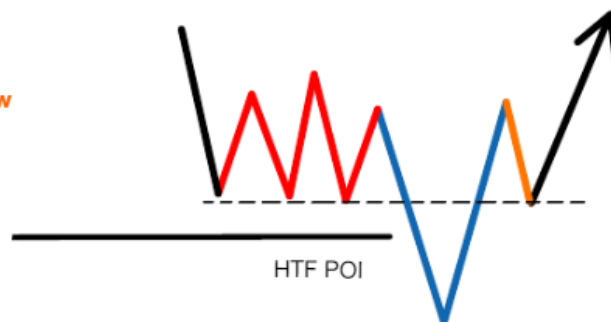
- ☐ HTF LIQ GRAB / FVG / POI
- ☐ LTF Liquidity Grab
- ☐ BOS + Displacement + FVG
- ☐ FVG In Premium + OTE (.62-.79)
- ☐ Internal Liquidity (IDM)
- ☐ Good Risk : Reward

Smart Money Concept (SMC)



Model 5 : Box Setup

- ☐ HTF POI / Low
- ☐ Original Consolidation Range
- ☐ Aggressive Down
- ☐ Aggressive Up
- ☐ Retest of Original Consolidation Low
- ☐ Good Risk : Reward



- ☐ HTF POI / High
- ☐ Original Consolidation Range
- ☐ Aggressive Up
- ☐ Aggressive Down
- ☐ Retest of Original Consolidation High
- ☐ Good Risk : Reward



Model 5 : Box Setup Variations - No POI

Experiment!

